Avg. number of private funds per adviser		8 private funds		8 private funds	8 private funds
Number of advisers		12,234 advisers		12,234 advisers	9,176 advisers[5]
Total new annual burden		1,108,890 hours		$364,386,264.48	$41,475,520

Notes:

1. *See* SIFMA data sets, *supra* Note 1 to Table 1 Rule 211(h)(1)-2 PRA Estimates.

2. This includes the internal initial burden estimate annualized over a three-year period, plus 4 hours of ongoing annual burden hours and assumes notices will be issued once annually to existing investors and once quarterly for prospective investors. The estimate of 8 hours is based on the following calculation: ((12 initial hours /3 years) + 4 hours of additional ongoing burden hours) = 8 hours. The burden hours associated with reviewing preferential treatment provided to other investors in the same fund and updating the written notice take into account that (i) most closed-end funds will only raise new capital for a finite period of time and thus the burden hours will likely decrease after the fundraising period terminates for such funds since they will not continue to seek new investors and will not continue to agree to new preferential treatment for new investors and (ii) most open-end private funds continuously raise capital and thus the burden hours will likely remain the same year over year since they will continue to seek new investors and will continue to agree to preferential treatment for new investors.

3. This estimated burden is based on the estimated wage rate of $565/hour, for 1 hours, for outside legal services at the same frequency as the internal burden hours estimate. The Commission's estimates of the relevant wage rates for external time costs, such as outside legal services, take into account staff experience, a variety of sources including general information websites, and adjustments for inflation.

4. This includes the internal initial burden estimate annualized over a three-year period, plus 3 hours of ongoing annual burden hours. The estimate of 3.33 hours is based on the following calculation: ((1 initial hours /3 years) + 3 hours of additional ongoing burden hours) = 3.33 hours.

5. We estimate that 75% of advisers will use outside legal services for these collections of information. This estimate takes into account that advisers may elect to use outside legal services (along with in-house counsel), based on factors such as adviser budget and the adviser's standard practices for using outside legal services, as well as personnel availability and expertise.

6. References to written notices in this table, and the burdens associated with the preparation, provision, and distribution thereof, include estimates related to advisers (i) offering the same preferential redemption terms to all existing and future investors and (ii) offering the same preferential information to all other investors, in each case, in accordance with the exceptions to the prohibitions aspect of the final rule.

G. Written Documentation of Adviser's Annual Review of Compliance Program

The amendment to rule 206(4)-7 requires investment advisers that are registered or required to be registered to document the annual review of their compliance policies and procedures in writing.[1849] We believe that such a requirement will focus renewed attention on the importance of the annual compliance review process and will help ensure that advisers maintain records regarding their annual compliance review that will allow our staff to determine whether an adviser has complied with the compliance rule.

[1849] *See* rule 206(4)-7(b).

This collection of information is found at 17 CFR 275.206(4)-7 and is mandatory. The Commission staff uses the collection of information in its examination and oversight program. As noted above, responses provided to the Commission in the context of its examination and oversight program concerning the amendments to rule 206(4)-7 will be kept confidential subject to the provisions of applicable law.

Based on IARD data, as of December 31, 2022, there were 15,361 investment advisers registered with the Commission. In our most recent PRA submission for rule 206(4)-7, we estimated a total hour burden of 1,293,840 hours and a total monetized time burden of $322,036,776. As noted above, all advisers that are registered or required to be registered, including advisers to SAFs, will be required to document their annual review in writing.

Commenters argued there would be certain additional costs associated with the amendment to rule 206(4)-7, such as compliance consultants or outside counsel.[1850] We have adjusted this estimate upwards from the proposal to reflect the final amendments, updated data, and comments we received to our estimates asserting that we underestimated these figures in the proposal. The table below summarizes the initial and ongoing annual burden estimates associated with the amendments to rule 206(4)-7.

Table 6: Rule 206(4)-7 PRA Estimates

	Internal annual burden hours	Wage rate[1]	Internal time cost	Annual external cost burden
ESTIMATES				
Written documentation of annual review	5.5 hours[2]	$484 (blended rate for compliance attorney ($425) and	$2,662	$459[3]

[1850] Curtis Comment Letter; SBAI Comment Letter.

		assistant general counsel ($543))		
Number of advisers	15,361 advisers		15,361 advisers	7,681 advisers[4]
Total new annual burden	84,486 hours		$40,890,982	$3,525,579

Notes:

1. *See* SIFMA data sets, *supra* Note 1 to Table 1 Rule 211(h)(1)-2 PRA Estimates.

2. We estimate that these amendments will increase each registered investment adviser's average annual collection burden under rule 206(4)-7 by 5.5 hours.

3. This estimated burden is based on the sum of the estimated wage rate of $565/hour, for 0.5 hours, ($282.5) for outside legal services and the estimated wage rate of $353/hour, for 0.5 hours, ($176.5) for outside accountant assistance.

4. We estimate that 50% of advisers will use outside legal services for these collections of information. This estimate takes into account that advisers may elect to use outside legal services (along with in-house counsel), based on factors such as adviser budget and the adviser's standard practices for using outside legal services, as well as personnel availability and expertise.

H. Recordkeeping

The amendments to rule 204-2 will require advisers to private funds, where the adviser is registered or required to be registered with the Commission, to retain books and records related to the quarterly statement rule, the audit rule, the adviser-led secondaries rule, the restricted activities rules, and the preferential treatment rule.[1851] These amendments will help facilitate the Commission's inspection and enforcement capabilities.

Specifically, the books and records amendments related to the quarterly statement rule will require advisers to (i) retain a copy of any quarterly statement distributed to fund investors as well as a record of each addressee and the date(s) the statement was sent; (ii) retain all records evidencing the calculation method for all expenses, payments, allocations, rebates, offsets, waivers, and performance listed on any statement delivered pursuant to the quarterly statement rule; and (iii) make and keep documentation substantiating the adviser's determination that the

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[1851] *See* final amended rule 204-2.

private fund it manages is a liquid fund or an illiquid fund pursuant to the quarterly statement rule.[1852]

The books and records amendments related to the audit rule will require advisers to keep a copy of any audited financial statements distributed along with a record of each addressee and the corresponding date(s) sent.[1853] Additionally, the rule will require the adviser to keep a record documenting steps it took to cause a private fund client with which it is not in a control relationship to undergo a financial statement audit that will comply with the rule.[1854]

The books and records amendments related to the adviser-led secondaries rule will require advisers to retain a copy of any fairness or valuation opinion and summary of material business relationships distributed pursuant to the rule along with a record of each addressee and the corresponding date(s) sent.[1855]

The books and records amendments related to the preferential treatment rule will require advisers to retain copies of all written notices sent to current and prospective investors in a private fund pursuant to final rule 211(h)(2)-3.[1856] In addition, advisers will be required to retain copies of a record of each addressee and the corresponding date(s) sent.[1857]

The books and records amendments related to the restricted activities rule will require advisers to retain copies of all notifications, consent forms, or other documents distributed to (and received from) private fund investors pursuant to the restricted activities rule, along with a record of each addressee and the corresponding date(s) sent.

1852 *See* final amended rule 204-2(a)(20)(i) and (ii), and (a)(22).

1853 *See* final amended rule 204-2(a)(21)(i).

1854 *See* final amended rule 204-2(a)(21)(ii).

1855 *See* final amended rule 204-2(a)(23).

1856 *See* final amended rule 204-2(a)(7)(v).

1857 *Id*.

The respondents to these collections of information requirements will be investment advisers that are registered or required to be registered with the Commission that advise one or more private funds. Based on IARD data, as of December 31, 2022, there were 15,361 investment advisers registered with the Commission. According to this data, 5,248 registered advisers provide advice to private funds.[1858] We estimate that these advisers, on average, each provide advice to 10 private funds.[1859] We further estimate that these private funds, on average, each have a total of 80 investors.[1860] As a result, an average private fund adviser has, on average, a total of 800 investors across all private funds it advises.

In our most recent PRA submission for rule 204-2,[1861] we estimated for rule 204-2 a total hour burden of 2,803,536 hours, and the total annual internal cost burden is $179,000,834.[1862] This collection of information is found at 17 CFR 275.204-2 and is mandatory. The Commission staff uses the collection of information in its examination and oversight program. As noted above, responses provided to the Commission in the context of its examination and oversight program concerning the amendments to rule 204-2 will be kept confidential subject to the provisions of applicable law.

1858 *See* Form ADV, Part 1A, Schedule D, Section 7.B.(1). The final quarterly statement, audit, adviser-led secondaries, restricted activities, and preferential treatment rules will not apply to SAF advisers with respect to SAFs they advise. These figures do not include SAF advisers that manage only SAFs.

1859 *See* Form ADV, Part 1A, Schedule D, Section 7.B.(1). The final quarterly statement, audit, adviser-led secondaries, restricted activities, and preferential treatment rules will not apply to SAFs. These figures do not include SAFs.

1860 *See* Form ADV, Part 1A, Schedule D, Section 7.B.(1).A., #13.

1861 Supporting Statement for the Paperwork Reduction Act Information Collection Submission for Revisions to Rule 204-2, OMB Report, OMB 3235-0278 (May 2023).

1862 Under the currently approved PRA for Rule 204-2, there is no cost burden other than the internal cost of the hour burden, and we believe that the amendments will not result in any external cost burden.

Several commenters stated that the recordkeeping requirements would be burdensome.[1863] We have adjusted the estimates upwards from the proposal to reflect the final amendments, updated data, and comments we received to our estimates asserting that we underestimated these figures in the proposal. We are also revising the estimates upwards to reflect the additional recordkeeping obligations we are adopting, such as the requirement to maintain records related to the restricted activities rule. We have adjusted these estimates to reflect that the final quarterly statement, audit, adviser-led secondaries, restricted activities, and preferential treatment rules will not apply to SAF advisers with respect to SAFs they advise as well.

The table below summarizes the initial and ongoing annual burden estimates associated with the amendments to rule 204-2.

Table 7: Rule 204-2 PRA Estimates

	Internal annual burden hours[1]	Wage rate[2]	Internal time cost	Annual external cost burden
ESTIMATES				
Retention of quarterly statement and calculation information; making and keeping records re liquid/illiquid fund determination	0.50 hours	$77.5 (blended rate for general clerk ($73) and compliance clerk ($82))	$38.75	$0
Avg. number of private funds per adviser	10 private funds		10 private funds	$0

[1863] *See, e.g.*, AIMA/ACC Comment Letter; ATR Comment Letter.

Number of advisers	5,248 advisers		5,248 advisers	$0
Sub-total burden	26,240 hours		$2,033,600	$0
Retention of written notices re preferential treatment	1 hours	$77.5 (blended rate for general clerk ($73) and compliance clerk ($82))	$77.5	$0
Avg. number of private funds per adviser	10 private funds[3]		10 private funds[3]	$0
Number of advisers	5,248 advisers		5,248 advisers	$0
Sub-total burden	52,480 hours		$4,067,200	$0
Retention and distribution of audited financial statements; making and keeping records re: steps to cause a private fund client that the adviser does not control to undergo a financial statement audit	0.50 hours	$77.5 (blended rate for general clerk ($73) and compliance clerk ($82))	$38.75	$0
Avg. number of private funds per adviser	10 private funds		10 private funds	$0
Number of advisers	5,248 advisers		5,248 advisers	$0
Sub-total burden	26,240 hours		$2,033,600	$0
Retention and distribution of fairness/valuation opinion and summary of material business relationships	1.5 hour	$77.5 (blended rate for general clerk ($73) and compliance clerk ($82))	$116.25	$0
Avg. number of private funds per adviser that conduct an	1 private fund		1 private fund	$0

adviser-led transaction				
Number of advisers	525 advisers[4]		525 advisers[4]	$0
Sub-total burden	787.5 hours		$61,031.25	$0
Retention of written notices, consent forms, and other documents for restricted activities	3.5 hours	$77.5 (blended rate for general clerk ($73) and compliance clerk ($82))	$271.25	$0
Avg. number of private funds per adviser	10 private funds[3]		10 private funds[3]	$0
Number of advisers	5,248 advisers		5,248 advisers	$0
Sub-total burden	183,680 hours		$14,235,200	
Total burden	**289,427.5 hours**		**$22,430,631.25**	$0

Notes:

1. Hour burden and cost estimates for these rule amendments assume the frequency of each collection of information for the substantive rule with which they are associated. For example, the hour burden estimate for recordkeeping obligations associated with the amendments to rule 204-2(a)(20) and (22) will assume the same frequency of collection of information as under final rule 211(h)(1)-2.

2. *See* SIFMA data sets, *supra* Note 1 to Table 1 Rule 211(h)(1)-2 PRA Estimates.

3. Final rules 211(h)(2)-1 and 211(h)(2)-3 apply to all private fund advisers, but the amendments to rule 204-2 only apply to advisers that are registered or required to be registered with the Commission. As discussed above, we estimate that advisers that are registered or required to be registered with the Commission each advise 10 private funds on average.

4. *See supra* section VII.E (Adviser-Led Secondaries).

I. Request for Comment Regarding Rule 211(h)(2)-1

We request comment on whether the estimates associated with the new collection of information requirements in "Rule 211(h)(2)-1 under the Advisers Act" are reasonable. Pursuant to 44 U.S.C. 3506(c)(2)(B), the Commission solicits comments to: (1) evaluate whether the proposed collection of information is necessary for the proper performance of the functions of the Commission, including whether the information will have practical utility; (2) evaluate the accuracy of the Commission's estimate of the burden of the proposed collection of information;

(3) determine whether there are ways to enhance the quality, utility, and clarity of the information to be collected; and (4) determine whether there are ways to minimize the burden of the collection of information on those who are to respond, including through the use of automated collection techniques or other forms of information technology.

Persons wishing to submit comments on the collection of information requirements should direct them to the OMB Desk Officer for the Securities and Exchange Commission, MBX.OMB.OIRA.SEC_desk_officer@omb.eop.gov, and should send a copy to Vanessa A. Countryman, Secretary, Securities and Exchange Commission, 100 F Street NE, Washington, DC 20549-1090, with reference to File No. S7-03-22. OMB is required to make a decision concerning the collections of information between 30 and 60 days after publication of this release; therefore a comment to OMB is best assured of having its full effect if OMB receives it within 30 days after publication of this release. Requests for materials submitted to OMB by the Commission with regard to these collections of information should be in writing, refer to File No. S7-03-22, and be submitted to the Securities and Exchange Commission, Office of FOIA Services, 100 F Street NE, Washington, DC 20549-2736.

VIII. FINAL REGULATORY FLEXIBILITY ANALYSIS

The Commission has prepared the following Final Regulatory Flexibility Analysis ("FRFA") in accordance with section 4(a) of the RFA.[1864] It relates to the following rules and rule amendments under the Advisers Act: (i) rule 211(h)(1)-1; (ii) rule 211(h)(1)-2; (iii) rule 206(4)-10; (iv) rule 211(h)(2)-1; (v) rule 211(h)(2)-2; (vi) rule 211(h)(2)-3; (vii) amendments to rule 204-2; and (viii) amendments to rule 206(4)-7.

[1864] 5 U.S.C. 603(a).

A. Reasons for and Objectives of the Final Rules and Rule Amendments

1. Final rule 211(h)(1)-1

We are adopting final rule 211(h)(1)-1 under the Advisers Act ("definitions rule"), which contains numerous definitions for purposes of final rules 211(h)(1)-2, 206(4)-10, 211(h)(2)-1, 211(h)(2)-2, and 211(h)(2)-3 and the final amendments to rule 204-2.[1865] We chose to include these definitions in a single rule for ease of reference, consistency, and brevity.

2. Final rule 211(h)(1)-2

We are adopting final rule 211(h)(1)-2 under the Advisers Act, which requires any investment adviser registered or required to be registered with the Commission that provides investment advice to a private fund (other than a SAF) that has at least two full fiscal quarters of operating results to prepare and distribute a quarterly statement to private fund investors that includes certain standardized disclosures regarding the costs of investing in the private fund and the private fund's performance.[1866] We believe that providing this information to private fund investors in a simple and clear format is appropriate and in the public interest and will improve investor protection and make investors better informed. The reasons for, and objectives of, final rule 211(h)(1)-2 are discussed in more detail in sections I and II above. The burdens of this requirement on small advisers are discussed below as well as above in sections VI and VII, which discuss the burdens on all advisers. The professional skills required to meet these specific burdens also are discussed in section VII.

[1865] *See* final rule 211(h)(1)-1.

[1866] *See* final rule 211(h)(1)-2.